

ETHIOPIA

Table 1 **2023**

Population, million	126.5
GDP, current US\$ billion	171.3
GDP per capita, current US\$	1353.5
International poverty rate (\$2.15) ^a	27.0
Lower middle-income poverty rate (\$3.65) ^a	65.0
Upper middle-income poverty rate (\$6.85) ^a	90.9
Gini index ^a	35.0
School enrollment, primary (% gross) ^b	85.5
Life expectancy at birth, years ^b	65.6
Total GHG emissions (mtCO2e)	201.4

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2015), 2017 PPPs.

b/ Most recent WDI value (2022).

Ethiopia liberalized its foreign exchange market, removing a significant obstacle to economic growth and stability. Complementary structural reforms support the transition to private sector-led growth and improve economic management. A safety net budget expansion is expected to help cushion the poor from the short-term impacts of these reforms. The persistence of widespread fragility, poverty, and pressing humanitarian needs pose challenges to sustaining reform momentum.

Key conditions and challenges

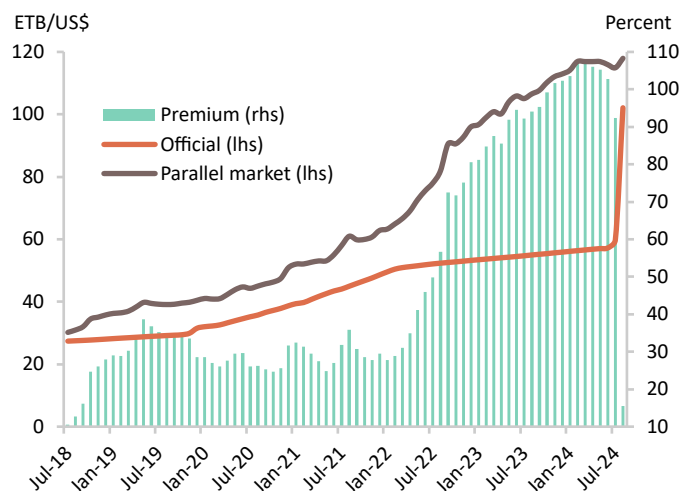
Between 2004-2018, Ethiopia was among the world's fastest-growing economies. The state-led development model improved infrastructure and living standards but relied on an overvalued currency, unsustainable debt, and strict regulations limiting private investment. This approach hurt competitiveness, fueled inflation, and drained resources. The model did not boost productivity enough to transform the economy or provide jobs for about two million new job seekers annually. Global trade integration remains limited, and growing budget constraints sharply reduced social and capital spending. Human capital levels have stayed low, and 70 percent of the workforce still depends on agriculture. As this model faltered, multiple crises hit: COVID-19, Russia's invasion of Ukraine, the Tigray conflict, and droughts. As a result, growth declined and economic imbalances worsened, leading to a debt default in late 2023. Living standards have deteriorated for the first time in over two decades. The Tigray conflict displaced over 20 million people, resulting in large humanitarian and reconstruction needs (estimated at US\$20 billion). About 15 million people rely on food aid. To stabilize the economy and revive growth, the government announced major reforms in late July 2024. This included an immediate shift to market-determined exchange rates, the removal of most current

account restrictions, and the modernization of the monetary policy framework. These reforms are supported by an IMF program, World Bank Development Policy Financing, and proposed debt relief through the G20 Common Framework. Uncertainty remains high, but there are early signs that the forex market is stabilizing after the initial reforms. Ethiopia's challenge now is to sustain and deepen these reforms to translate economic improvements into tangible benefits for people: higher incomes, more jobs, and better public services.

Recent developments

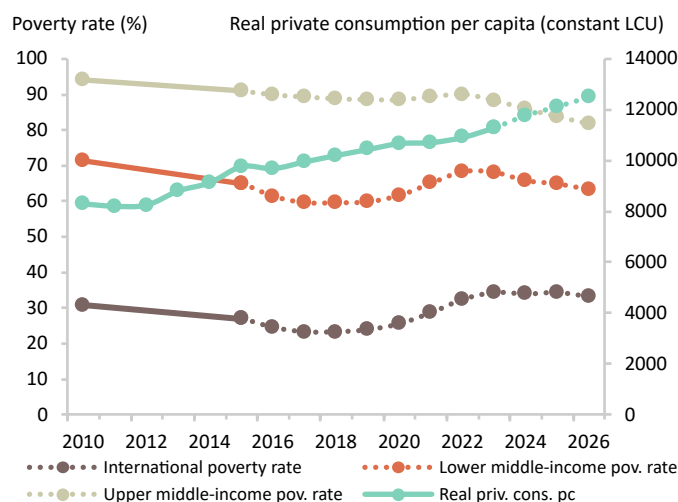
Growth rebounded to 7.2 percent in FY23 after the Tigray conflict ended. It remained strong in FY24, boosted by better harvests and agricultural reforms. However, increasing forex shortages and falling revenues (below 7 percent of GDP in FY24) intensified economic pressures. The parallel forex market premium exceeded 100 percent, and international reserves hit critical lows. This weakened manufacturing and services. Declining revenues and foreign assistance forced fiscal cuts, reducing capital spending and regional grants. The fiscal deficit decreased to 1.8 percent in FY24, reducing the need for highly inflationary monetary financing from the central bank which fuels inflation. Inflation has fallen steadily in 2024 from about 30 percent in the two previous years to 18.6 percent in July 2024. Public debt as a share of GDP continued to decline due

FIGURE 1 Ethiopia / Nominal exchange rate of Ethiopian Birr (ETB)



Source: National Bank of Ethiopia.

FIGURE 2 Ethiopia / Actual and projected poverty rates and real private consumption per capita



Source: World Bank. Notes: see Table 2.

to tight borrowing limits. Import suppression, lower global commodity prices, and higher Ethiopian Airlines exports helped limit the current account deficit to about 2.8 percent of GDP in FY24.

After the forex market reforms, the weighted average US Dollar exchange rate depreciated by 91 percent, and the parallel market premium narrowed to about 7 percent. Large IMF and World Bank disbursements linked to the reforms have boosted international reserves.

Measures to recapitalize the Commercial Bank of Ethiopia and strengthen banking supervision aim to enhance financial stability and efficiency. Despite increased risks from the banking sector's higher net open position due to forex reforms, the sector remains adequately capitalized.

Recent conflicts, economic shocks, and high population growth have likely increased poverty and lowered household welfare nationwide. The reforms aim to reverse these trends by accelerating rural agricultural market activity, improving rural land tenure and security, and expanding urban and rural safety net coverage and benefits. These recent measures focus on addressing poverty and improving overall welfare.

Outlook

Short-term economic activity is expected to slow due to tighter monetary policies and investor uncertainty. However, growth should recover as conditions stabilize and forex availability improves. Continued reforms and expected debt relief will increase private and public investment, raising medium-term growth to about 7 percent.

Inflation is likely to rise to about 30 percent due to higher import costs and utility tariff adjustments. It is expected to decrease to low double digits by FY26 as the impacts of one-off price adjustments fade and reforms ease supply constraints. Phased fuel and fertilizer price increases will help manage inflation. Improved forex availability will increase demand for imports, contributing to a wider current account deficit in FY25. The deficit should then narrow as import suppression eases and exports become more competitive. Tax reforms and increased development assistance are expected to support a recovery in public spending levels, reversing the

trend of declining real expenditure in recent years.

To cushion the short-term impacts of macroeconomic reforms on poverty (mainly through higher prices), the government will significantly expand social assistance spending. This includes a nearly five-fold increase in social assistance spending, wage increases for the lowest-paid civil servants, and a temporary social spending package worth 1.1 percent of GDP. These measures will boost beneficiary payments and extend coverage to more permanent and temporary recipients. The government is also phasing in fuel and fertilizer price increases and safeguarding essential food and medicine imports from price spikes.

In the medium term, the reforms are expected to generate more employment opportunities for the poor and increase demand for agricultural products in both domestic and international markets. This should ultimately improve living conditions and accelerate poverty reduction.

However, significant risks remain. Lower-than-expected forex inflows, unforeseen financial exposures, and the intensification of conflict could undermine growth, private investment, and efforts to stabilize the economy.

TABLE 2 Ethiopia / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2020/21	2021/22	2022/23	2023/24e	2024/25f	2025/26f
Real GDP growth, at constant market prices	6.3	6.4	7.2	6.1	6.5	7.1
Private consumption	3.0	4.5	6.1	6.9	5.5	5.6
Government consumption	12.2	1.5	-16.0	-9.3	29.7	1.1
Gross fixed capital investment	7.6	11.0	11.2	10.3	5.2	9.7
Exports, goods and services	5.5	11.7	-0.8	4.5	11.2	11.0
Imports, goods and services	2.0	10.8	-4.1	13.0	9.9	8.1
Real GDP growth, at constant factor prices	6.3	6.4	7.2	6.1	6.5	7.1
Agriculture	5.5	6.0	6.3	6.0	6.0	5.9
Industry	7.3	4.8	6.9	4.4	5.2	7.1
Services	6.3	7.9	8.0	7.3	7.7	8.1
Inflation (consumer price index)	20.2	33.7	32.6	27.0	29.9	16.2
Current account balance (% of GDP)	-2.7	-4.0	-2.8	-2.8	-4.5	-3.2
Fiscal balance (% of GDP)	-2.5	-4.2	-2.7	-1.8	-2.5	-2.0
Revenues (% of GDP)	10.7	8.2	7.9	7.6	9.1	10.6
Debt (% of GDP)	56.6	54.4	42.7	36.3	32.5	31.1
Primary balance (% of GDP)	-2.0	-3.6	-2.1	-1.2	-1.9	-1.4
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	28.7	32.4	34.3	33.9	34.3	33.1
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	65.0	68.3	68.0	65.7	64.8	63.1
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	89.3	90.0	88.2	85.8	83.6	81.7
GHG emissions growth (mtCO₂e)	-2.8	1.4	3.5	3.2	2.6	2.3
Energy related GHG emissions (% of total)	14.0	14.3	14.3	14.2	14.2	14.4

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast. Growth projections reflect limited available information, and are subject to revision as better data becomes available.

a/ Calculations based on 2015-HICES. Actual data: 2015. Nowcast: 2016-2023. Forecasts are from 2024 to 2026.

b/ Projections using microsimulation methodology.